

that go bust in a year or two, but there are exceptions. Discussions with customers have helped him spot profitable trends in the stock market and have helped him avoid costly mistakes.

Table 50.11 Special Features

Description	Bull Market	Bear Market
Median pipe difference as percentage of breakout price	1%	1%
Difference > median, median performance	−17%	−22%
Difference ≤ median, median performance	−14%	−20%

His interest turned to the steel industry when he learned that the federal government was thinking of punishing foreign producers for dumping steel in the United States. He learned about the trend from comments made about how price for steel products was dropping rapidly. Companies using the cheap steel thought the decline was great, but the steel companies did not agree. The bosses at the steel companies started jumping up and down on their favorite politicians.

When Johnny saw the situation depicted in [Figure 50.4](#), he formed a unique plan to profit from the pipe top. He measured the percentage gain from the base (point A in the figure) to point B, the first minor high on the weekly chart. The rise was 34%. Then he calculated the amount of the retrace from points B to C, which turned out to be 14%.

As he watched the price climb from point C to the pipe, he whipped out his calculator and discovered that the percentage change was 50%, near the 34% gain of the first push. He suspected and hoped that the pipe top marked the start of a downward retrace that would take price lower, probably around 15% lower, equaling the B to C retrace.